

DAILY BRIEF - Tuesday 19 May 2026

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HEADLINE OF THE DAY

*Oil boiling (+4.3% Brent at \$110), bonds in free fall (10Y at 4.62%), gold corrects (-3%) despite geopolitics.** Trump cancels an Iran strike at the last minute after a call from Gulf states, but the damage is done: WTI hit \$108 overnight. US yields are exploding (+3.6% on the 10Y in a month), the dollar is strengthening (DXY 99.1), and tech is suffering (NASDAQ -0.7%). The Fed is in "higher for longer" mode - Warsh confirmed to the Board, Waller speaks today. FOMC Minutes tomorrow.

GLOBAL SENTIMENT

****VIX** ? 17.82 (-0.94%) | ? Low - no panic**

****DXY** ? 99.10 (+0.23%) | ? Strengthening**

****Gold** ? 4,538 (-3.00%) | Technical correction**

****US 10Y** ? 4.62% (+3.59%) | Explosive rise**

****US 30Y** ? 5.15% (+2.31%) | Psychological threshold**

****US 5Y** ? 4.28% (+3.78%) | Bond vigilantes**

****S&P 500** ? 7,403 (-0.13%) | ? Under pressure**

****NASDAQ** ? 26,091 (-0.70%) | Tech sold off**

****WTI** ? 103.19 (+2.00%) | Iran tension**

****Brent** ? 110.29 (+4.32%) | Explosion**

****BTC** ? 76,842 (-2.81%) | Risk-off crypto**

****Copper** ? 6.27 (-4.61%) | Weak China**

****Silver** ? 76.23 (-10.22%) | Collapse**

Read: The market is in pure "inflation fear" mode. US yields are exploding higher (+20bp on the 10Y in a week), driven by oil fears (Iran), wholesale inflation at 6% (CNBC), and the conviction that the Fed won't cut. Gold is correcting violently (-3%, silver -10%) because real yields are becoming prohibitive. Copper is collapsing on weak China. Only oil benefits from geopolitics. Paradox: the VIX remains low despite everything - equities trust the soft landing but bonds say the opposite.

MACRO - What Moved

US

Bonds in revolt: The 10Y jumped from 4.28% to 4.62% in 5 sessions (+34bp). The 30Y broke above 5.15%. Yardeni predicts the Fed will have to *raise* rates in July to calm the "bond vigilantes." The UK gilt market shows similar signs of fragility (FT).

Wholesale inflation explosive: PPI/wholesale inflation surged 6% YoY in April - the biggest rise since 2022 (CNBC). This confirms inflation isn't dead and oil will feed the spiral.

Fed in full reshuffle: Kevin Warsh confirmed as Governor by the Senate. Stephen Miran resigns and endorses Warsh as next Chair. Waller speaks today (13:00 CET). Paul Tudor Jones says "no chance" Warsh gets cuts. FOMC Minutes tomorrow will be scrutinized for dissent.

Housing under pressure: MBA mortgage rates at 6.46% (30Y). Pending Home Sales on watch today (consensus +1.8% MoM). The US housing market is frozen by high rates.

Tech in correction: NASDAQ down 0.7%, driven by rising yields compressing AI valuations. Investors warn of a "correction" risk (FT). Nvidia in focus this week with earnings and the Xi-Trump summit.

TIC Flows: US long-term capital inflows (TIC) at \$81.3B in March vs \$57B previously - the dollar still attracts, but the trend is watched.

EU

EUR/USD under pressure: 1.1646 (-0.76%), the lowest of the month. The Fed/ECB divergence is total - the ECB may cut in June but the Fed won't move. Europe suffers in comparison to US resilience (yields, growth).

Gilts in crisis: The FT flags growing "vulnerabilities" in the UK gilt market. Public debt is rising, hedge funds are increasing trading - risk of contagion to the global bond market.

Power of Siberia 2: Putin and Xi meet to discuss the giant gas pipeline. An agreement would be a game-changer for European energy (reduced LNG dependence) and a major geopolitical signal.

China

Economy losing steam: Chinese retail sales at a 40-month low in April (CNBC). The post-COVID recovery is a relative failure. Copper collapses (-4.6%) as a result.

Xi-Trump-Putin: Xi told Trump that Putin might "regret" the invasion of Ukraine. All three leaders are in diplomatic mode. Xi-Putin summit today for Power of Siberia 2. China is not actively supporting Iran (Carnegie).

Google invests \$5bn in an AI cloud group backed by Blackstone - 500MW of data center capacity. The AI race continues.

UK

GBP/USD at 1.3418 (-0.88%) - the pound suffers from dollar strength and gilt concerns. The FT flags systemic fragilities in the UK bond market.

FTSE up despite everything (Bloomberg) - the UK market benefits from its composition (energy, defense, commodities).

EM

India: The RBI may transfer a record \$31bn to the government to cushion the war shock (Bloomberg). India raises taxes on gold and silver to protect the rupee.

Australia: The RBA raised rates for the 3rd consecutive time. Inflation expectations "increasingly concerning" (RBA). The Iran oil shock hits at the worst moment.

Japan: Stronger-than-expected Q1 growth - window for a BOJ rate hike. But Middle East uncertainty delays everything.

Russia: Structural labor shortage that will weigh on the economy for years (Bloomberg).

GEOPOLITICS

Hot

Iran - Trump cancels strike at the last minute: Trump had planned a military strike on Iran for Tuesday, but the leaders of Qatar, UAE, and Saudi Arabia begged him to wait and give diplomacy a chance. Oil had already surged to \$108 (WTI) and \$110 (Brent) in anticipation. Iran is stockpiling oil on aging tankers in the Gulf (FT). The dollar recovered after the announcement.

Israel - 1,000 km² seized: Israel now controls about 5% of its 1949 borders in Lebanon, Gaza, and Syria. Netanyahu's strategy is intensifying. A Lebanese village under Israeli occupation described by the FT.

Ebola in DRC: An American missionary tested positive. The epidemic continues.

Watch

G7 ministers: Emergency meeting warning of consequences of a Strait of Hormuz closure. The G7 discusses oil price stabilization.

Xi-Putin Summit: Discussions on Power of Siberia 2 - an agreement would be an energy and geopolitical game-changer. Trump visited Beijing just before.

SpaceX IPO: D1 Capital could gain \$20bn. The "genius bubble" of Silicon Valley is expanding (FT).

Musk vs OpenAI: Musk loses his lawsuit against OpenAI after 2 hours of deliberation. Victory for Sam Altman.

Positive

Iran diplomacy: The fact that Trump canceled the strike shows diplomacy still works. Gulf states play a crucial mediator role.

Adani: The US drops civil and criminal charges against Adani after a \$10bn investment pledge. India and the US grow closer.

FX FOCUS

`EUR/USD` ? 1.1646 (-0.76%) | Weak
`GBP/USD` ? 1.3418 (-0.88%) | Under pressure
`USD/JPY` ? 159.03 (+0.86%) | ? Weak yen
`USD/CHF` ? 0.7855 (+0.65%) | ? Neutral

Analysis: The dollar is strengthening across the board (DXY 99.1) thanks to the triple effect: rising US yields, geopolitical risk-off (Iran), and weakness in rival currencies. EUR suffers from total monetary policy divergence with the Fed - the ECB may cut in June but the Fed won't move, or could even hike (Yardeni predicts +25bp in July). JPY remains weak at 159 despite risk-off, which is paradoxical - normally the yen benefits from risk aversion. CHF plays its safe-haven role but moderately. The pound suffers from guilt concerns.

****Pair to watch:**** `EUR/USD` - if it breaks 1.1600, acceleration toward 1.1550. Catalyst: Waller spe

COMMODITIES

****Oil:**** WTI 103.19 (+2.00%) | Brent 110.29 (+4.32%)

Oil is the star asset of the day. Brent surged from \$95 to \$110 in 2 weeks (+15%) on Iran tensions. Trump canceled the strike but the risk of a Strait of Hormuz closure remains. Iran is stockpiling oil on tankers - production continues but exports are threatened. The G7 meets urgently. EIA Crude Stocks (-4.3M barrels) confirm supply tension. Evercore ISI predicts July 4th could be a "breakpoint" for oil prices. China and the US worked together to avoid an even higher spike (CNBC).

****Gold:**** 4,538 (-3.00%)

Gold is correcting violently despite geopolitics. Why? US real yields are exploding (10Y at 4.62% + expected inflation ~2.5% = real yield ~2.1%, the highest in months). The opportunity cost of holding non-yielding gold is becoming prohibitive. The market is watching Iran ceasefire progress (Bloomberg). India raises gold taxes to protect the rupee - this reduces demand from the world's 2nd largest consumer.

****Silver:**** 76.23 (-10.22%)

Spectacular collapse of silver. Silver corrects more violently than gold because it has a dual role (monetary + industrial) and Chinese weakness (copper -4.6%) weighs on industrial demand. The

Gold/Silver ratio is widening.

Copper: 6.27 (-4.61%)

"Dr. Copper" is signaling deteriorating global growth. Chinese retail sales at a 40-month low confirm it. Copper is the barometer of the Chinese recovery - and it's saying it's not working.

****Soft:** No specific data today. Grains remain watched in the context of the war (Ukraine/Russia).**

TODAY'S AGENDA

12:15 - US ADP Employment Change Weekly - 33.0K

12:55 - US Redbook YoY - 9.6%

13:00 - **Fed Waller Speech** - High impact

14:00 - US Pending Home Sales MoM - Consensus +1.8% | Prev +1.3%

14:00 - US Pending Home Sales YoY - Prev -0.5%

15:30 - US 6-Week Bill Auction - 3.615%

20:30 - US API Crude Oil Stock Change - -2.188M

23:00 - Fed Paulson Speech

23:30 - Fed Venable Speech

This week:

Wednesday 20: MBA Mortgage Data, EIA Crude Stocks, Fed Barr Speech, 20-Year Bond Auction, **FOM**

C Minutes

Thursday 21: Jobless Claims, Philly Fed, Flash PMI, Building Permits, Housing Starts

Friday 22: Existing Home Sales, Consumer Confidence

DEEP MACRO THEME OF THE DAY

The Great Bond Decoupling: The Bond Vigilantes Are Back*

We are living through a rare and dangerous moment: the global bond market is rebelling simultaneously. The US 10Y went from 4.28% to 4.62% in a week. The 30Y broke above 5.15%. UK gilts show signs of fragility. Australian yields are rising despite the war.

This isn't simple "repricing" - it's a regime change. The market no longer believes inflation will return to 2%. The Iran oil shock (Brent +15% in 2 weeks) fuels fears of a cost-push inflation comeback. Wholesale inflation at 6% confirms that producer prices are surging. And the Fed, far from fighting the fire, is in "higher for longer" mode - or could even hike (Yardeni).

The paradox is striking: US equities (S&P at 7,400) refuse to believe in recession, while bonds scream "stagflation." Historically, when bonds and equities diverge this strongly, it's bonds that are right - they're more liquid, more institutional, and less subject to euphoria.

The real risk isn't a classic recession - it's a stagflationary scenario where inflation stays high (oil + supply chains), growth slows (weak China, frozen US housing), and the Fed is paralyzed (can't cut or hike without worsening one of the two problems). It's the worst of all worlds for multi-asset investors.

CONSENSUS VS REALITY

What the market is pricing:

"The Fed will cut in September" ? Wrong. With wholesale inflation at 6%, oil at \$100+, and bond vigilantes in revolt, the Fed has no room to maneuver. The market still pricing 25bp of cuts by December is unrealistic.

"Iran will find a diplomatic solution quickly" ? Uncertain. Trump canceled the strike BUT Iran continues to stockpile oil on tankers and the UAE/Saudi Arabia report drone incidents. A ceasefire is not guaranteed.

"Gold is a safe haven in times of crisis" ? Partially wrong. Gold is correcting -3% today. When real yields explode, gold suffers. The real safe haven today is the dollar (DXY +0.23%) and short-dated

Treasuries.

"China will stimulate heavily" ? Wrong. Retail sales at a 40-month low, copper collapsing, and Xi prefers diplomacy (Trump, Putin) to domestic stimulus. No massive stimulus in sight.

"AI tech will rise forever" ? Risky. NASDAQ correcting -0.7%, investors warn of a correction risk (FT). AI valuations are stretched and rising yields are compressing them.

"Oil will drop back below \$90" ? Wrong short-term. With Iran, the G7 in emergency mode, and EIA stocks declining, oil has structural support. July 4th could be a breakpoint (Evercore).

The alpha:

1. **Short EUR/USD toward 1.1550** - Total Fed/ECB divergence. The ECB may cut in June, the Fed won't move. Stop-loss above 1.1750. Catalyst: hawkish Waller today + FOMC Minutes tomorrow.
 2. **Long Brent Crude - target \$115** - The Iran risk is not fully priced in. The G7 meets urgently. EIA stocks declining. Stop-loss below \$100. Timeframe: 1-2 weeks.
 3. **Short Gold - target \$4,400** - Real yields are exploding, gold has no support. India raises taxes. Stop-loss above \$4,700. Catalyst: hawkish FOMC Minutes.
 4. **Long USD/JPY toward 160+** - The yen isn't even benefiting from risk-off (paradoxical). The BOJ is dovish despite growth. The carry trade works. Stop-loss below 157.
 5. **Short Copper - target \$5.80** - China is weak, retail sales are collapsing, stimulus isn't coming. Copper is the canary in the coal mine of global growth.
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MERTON'S TAKE

***Regime: STAGFLATION FEAR** - The bond market leads, equities will follow.**

We are at a pivotal moment. The bond vigilantes - those bond investors who punish irresponsible policies - are back with a violence not seen since 2022. The US 10Y at 4.62%, the 30Y at 5.15%, and it may not be over.

The driver of the week is threefold: (1) Iranian oil that won't drop below \$100 anytime soon, (2) wholesale inflation at 6% that kills the disinflation narrative, and (3) the Fed that is trapped - it can't cut (inflation) nor hike (fragile growth) without worsening one of the two problems.

My conviction:* US equities will eventually listen to bonds. The S&P at 7,400 with a 10Y at 4.62% is an anomaly. The equity risk premium is compressed to dangerous levels. If yields stay here or rise further, multiples will contract. I see the S&P testing 7,200-7,000 in the next 2 weeks.

The trade of the week:* Long oil (Brent) + Short EUR/USD + Short gold. It's a pure "inflation hedge" trade. Oil benefits from geopolitics, the euro suffers from Fed/ECB divergence, and gold corrects because real yields are too high.

Positioning:* Defensive on equities (reduce tech exposure), long the dollar (DXY), long oil, short gold and copper. Short bonds (selling Treasuries) remains the most convincing trade of the moment - but watch out for FOMC Minutes tomorrow which could create volatility.

What I'm watching:* Waller at 13:00 CET (likely hawkish), FOMC Minutes tomorrow (dissent?), Jobless Claims Thursday (is the US labor market cracking?), and especially the price of Brent - if it breaks above \$115, everything changes.

Sources Consulted

Yahoo Finance API - Real-time market data (all tickers)
Trading Economics - US economic calendar, bond data, macro indicators
FT RSS (Home + Markets) - Financial and geopolitical news
Bloomberg RSS (Markets + Economics) - Breaking news and economic analysis
CNBC (World, Fed, Oil, Gold, Iran) - Headlines and sentiment analysis
Oilprice.com - Energy news

Financial Juice - Daily Dose (daily sentiment)
CNN Fear & Greed Index - Sentiment indicator
Polymarket - Prediction market data
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